



Absa Bank Kenya PLC

Investor Briefing Pack

March 2020

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The Strategic Positioning of Absa

Jeremy Awori - Chief Executive Officer

(01)

Absa is a leading Pan African financial services group and the 3rd largest banking group in Africa

Absa Group credentials

The strategy comprises of a guiding purpose, three strategic priorities that outline the business' objectives in terms of what is required to succeed and three enablers which will change the way we operate and define exactly how we will achieve these objective

We are driven by our purpose and...

Bring your possibility to life

We believe in possibility, in the actions of people who always find a way to get things done. We believe in creating opportunities for our customers to make their possibilities real and supporting them every step of the way.

...guided by our promises

For our people, we will create a culture that appreciates, unifies and differentiates us from our competitors.

For our customers, we will create unprecedented, seamless experiences to engage and delight them.

For society, all our employees will lead with a conscience... doing the best for people and the planet

We live by our Values

We drive high performance to achieve results

Our people are our strength

We are obsessed with the customer

We have an African heartbeat

Absa Group strategy



3 Priorities

- To restore leadership in core businesses.
- To innovate by building pioneering new propositions.
- To empower by creating a thriving organization.

3 Enabling capabilities

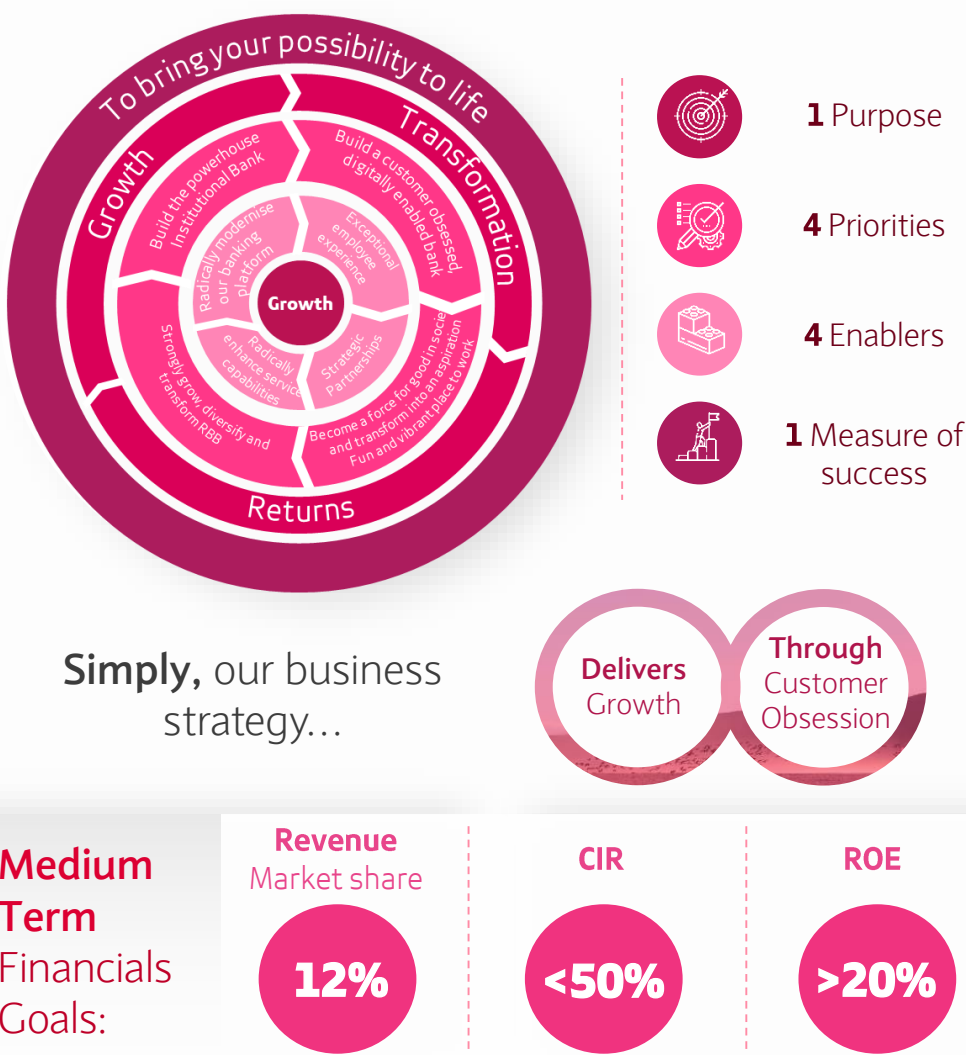
- To scale by becoming a digitally-led business.
- To grow through targeted acquisitions, disposals and strategic partnerships.
- To shape the societies in which we operate

Absa Kenya's philosophy and strategy are in execution motion; for 2 years now

Absa Kenya Philosophy

Our vision	Become the best bank in customer experience			
Our values	 We drive performance to achieve sustainable results	 We are obsessed with the Customer	 We have an African heartbeat	 Our people are our strengths
Our attitudes	 Brave	 Passionate	 Ready	
Our brand attributes	 Accessible	 Dynamic	 Aspirational	
Our internal operating rhythm	 Easier	 Faster	 Better	

Absa Kenya strategy: Growth, Transformation and Returns



(Our Purpose)



To bring your possibility to life

Delivering our Purpose: Bringing possibilities to life for the Kenyan people

We are driving financial access with Timiza

As at March 2020

3.8
million
customers



As at December 2019

3.2
million
loans



As at December 2019

Kes20bn
Approx.
Lending

We have almost **4 million** new believers in our purpose and our brand in 2 years of launch



KENNETH NDUU
Development Specialist

'With Timiza, I can modify cooking stoves to purify drinking water; eliminating diseases'



LUCY LINTHARI
Entrepreneur

'My son asked me to try Timiza when I needed cash for my business. Timiza has helped a lot, we are doing very well'



ERICK OMUKAGA
Student

'I often get stranded. However, Timiza helps me manage cash to run a small business to support my family'



Delivering our Purpose: Bringing possibilities to life for the young people

Investing in education, skill development and employment

We are investing in the future of the youth through skills development via our ReadyToWork program



160,000

youth beneficiaries
through ReadytoWork



574

scholarships provided
through a KES 161Mn
fund



70,000

smart cards to be issued
to university students



54

internships offered by the
bank in 2019



+56

universities having
students benefitted from
our initiatives



2,500

youth secured
placements with partner
institutions in 2018



Delivering our Purpose: **Bringing possibilities to life for the young people (cont'd)**

Investing in education, skill development and employment

We are investing in the future of the youth with sports and education: Torch of possibilities

KES20mn

Construct ablution blocks in 40 primary schools

KES25mn

Setting up 66 computer centers across the country

Absa Torch of possibilities



The **Torch of Possibilities** is characteristic of who we are as a people, always ready to inspire and mentor future generations by enabling them to make significant strides towards their dreams.



Delivering our Purpose :

Bringing possibilities to life for the Kenyan economy

Opening up a world of possibilities from Kenya to 500 million homes globally

We are opening Kenya to the world

2019 event concluded; 2020 event to be confirmed

Global
expansion

-Amongst the world's best golftournaments
-Elevated to the elite European Tour



Top quality

Longest and biggest sponsorship from a
private sector corporate; to enhancequality
and to increase prizemoney



Global
audience

Reaching 500 million homes globally



Society
development

A landmark social event that attracts both
domestic and international tourists



Africanacity is
learning to drive
with a wooden stick
and still making it
as a pro



We are inspired by **David Waku**, a homegrown self-taught golfer who started with hand-made wooden clubs and is now one of Kenya's greatest golfing legends.

Come meet David and other Kenyan golfers who are getting things done at this year's **Magical Kenya Open from 12 – 15 March 2020 at Karen Country Club.**

#WeLoveAfricanacity

Absa Bank Kenya PLC is regulated by the Central Bank of Kenya.



Delivering our Purpose: Bringing possibilities to life for Women & Entrepreneurs

SheTrades (Women programme) & Wezesha (SME proposition) to create opportunities for millions of Kenyans

We are here to ensure women and entrepreneurs thrive through SheTrades & Wezesha Biashara

Women Entrepreneurs: SheTrades

SME's: Wezesha



Absa Business club will offer advisory and networking opportunities for SMEs

When we focus on our purpose, we transform our business

Our transformation highlights from 2013 until Today

Bring your possibility to life
is our purpose



2X
Growth in
total Assets



9X
Growth in
customers
aided by Timiza



Winner
Talent
Management
Strategy (HR
Circle of
Excellence
Awards 2019)



Best
performing bank
stock among the
NSE listed banks
(2018-2019)



28%
Growth in Customer
Assets in Business
Banking (2019)



Top 4
companies promoting
equality in the workplace
(EQUILEAP)



Best
In class in
Markets business

Absa Kenya is now a full services financial group, ready to scale towards a market leadership position by scale

Pre 2013

Largely a vanilla conventional bank



New Capabilities



Today



We are now a full financial services group



Our operating environment – the emerging realities indicate a volatile and uncertain operating environment

Setting the context for 2019 financial results and 2020 Guidance

Global Macro's

	September 2019	Today
Global GDP	\$86,599bn	↓
Oil	\$62.8	↓ \$29.76 (As at 18 th March 2020)
Gold	\$1,466/oz	↑ \$1,523/oz (As at 18 th March 2020)
SSA growth	3.2%	↓ 2.88%
SSA inflation	8.38%	↑ 10.3%
Macro threats	• Trade war • Brexit	⚠ Covid-19

Kenya Macro's

	September 2019	Today
GDP	\$89bn	↓
Inflation (12-month)	3.83%	↑
Import cover	5.7 Months	→
Currency	103.8	→
Unemployment rate	9.3%	↑
Tourism industry growth	+10%	↓
Other Macro factors	Excess Rainfall	⚠ Covid-19 • Locust invasion

Therefore 4 things to be mindful of as a bank

1. Risk on vs Risk-off through 2020
(Timing of portfolio stress)

2. More volatile price environment:

- Inflation ----- ● ↑ ↓
- Currency ----- ● ↑ ↓
- Interest rate ----- ● ↑ ↓

3. Non-performing Loans and portfolio quality

4. Capital adequacy levels

2019 Financial Performance

Yusuf Omari – Chief Finance Officer

(02)

Transition Update: The transition project is now behind us, with a Kes 1.5bn of related costs incurred in 2019

Kes mn			
Income statement	2019 Published	Transition one-off Adjustment	2019 Normalized
Total Revenue	33,766	-	33,766
Impairment	(4,201)	-	(4,201)
Total Cost	(18,814)	1,529	(17,285)
Profit before tax	10,752	1,529	12,281
Taxation	(3,296)	469	(3,765)
Profit after tax	7,456	1,060	8,516
CIR	56%	(5%)	51%
ROE	16%	2%	18%

Key Drivers of the Kes 1.5bn

- Re-branding the real estate
 - 85 Branches
 - 209 ATMs
 - 2 HQs
- Re-branding of 78 internal and external applications used by our customers and colleagues
- Relocation of (and investment in some entirely new) technology systems, touching 300+ applications, key among them including:
 - Core banking system
 - All digital channels (with new investments)
 - HR systems (14 different systems replaced with a single modern day platform)
 - Financial Crime System
 - Card Acquiring Switch
- Marketing and Advertising -Various communications and campaigns delivered to the public to introduce and make Absa known in the Kenyan market
 - Credentials campaigns
 - Thematic campaigns
 - Product campaigns

Financial Results: in 2019 Assets grew by 15%, Revenue grew by 7% and Normalized PBT increased by 15%

Financial Results 2019 FY

(In KES millions unless stated otherwise)

	Indicators	FY 2019	FY 2018	Comment	
P&L	Income	33.8 bn	31.8 bn	7% growth driven balance sheet Expansion, NFI & lower COF	↑
	NII	23.2 bn	22.0 bn	5% growth driven by lower COF & Yields	↑
	NFI	10.6 bn	9.7 bn	9% growth driven by Timiza & digital transactions	↑
	Normalized Cost	(17.3 bn)	(17.2 bn)	1% growth contained below inflation	→
	Impairment	(4.2 bn)	(3.9 bn)	9% growth (in line with business growth)	↑
	Normalized PBT	12.3 bn	10.6 bn	15% growth	↑
Balance sheet	Customer Assets	194.9 bn	177.4 bn	10% growth powered by all segments	↑
	Customer Liabilities	237.7 bn	207.4 bn	15% growth powered by all segments	↑
	Total Assets	373.9 bn	324.8 bn	15% growth powered by all segments	↑
	Government Securities Balance (excl. trading)	79.2 bn	63.2 bn	25% growth in-line with an optimized investment profile	↑
Returns	Total Dividend	Kes 1.1	Kes 1.1	Interim dividend KES 0.2, final dividend 0.9	↑
	Normalized EPS	1.56	1.37		

Key ratios: CIR showing marked improvement, with industry-wide margins under pressure, loss loan ratio within target and adequate coverage ratio

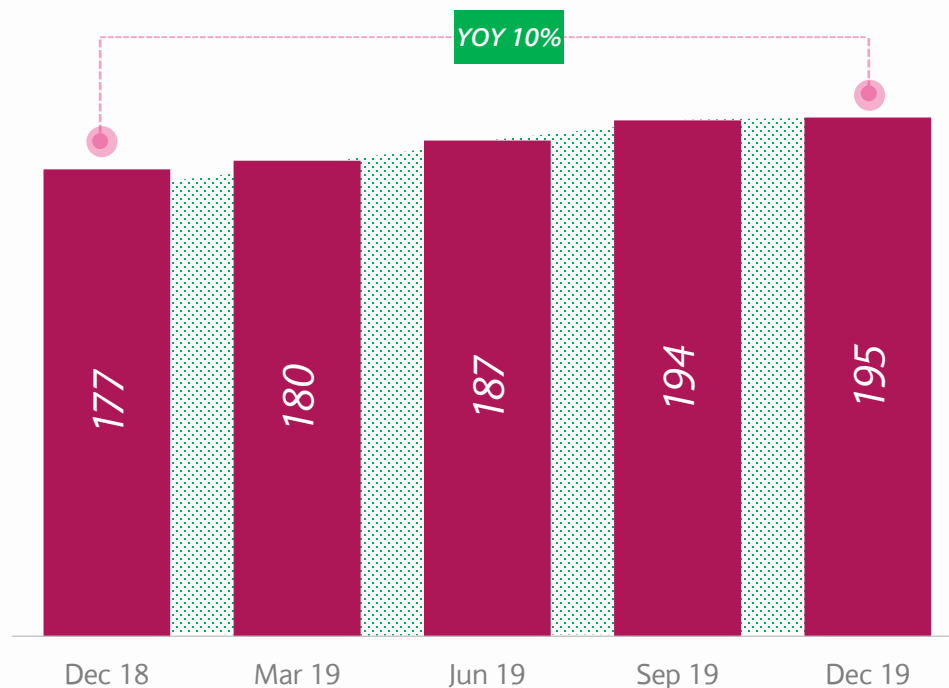
Key ratios performance 2019 FY			
Indicators	FY 2019	FY 2018	B/(W) vs. PY
Normalised Return on Equity	18.4%	16.8%	Marked improvement 
Cost to Income Ratio (adjusted) ⁽¹⁾	51.2%	54.2%	Marked improvement 
Loan Loss Rate	2.2%	2.2%	Within target and in line with business growth 
Net Interest Margins	8.5%	9.1%	Broadly maintained 
Yield on Loans	11.3%	11.8%	Broadly maintained 
Cost of Funds	2.8%	3.0%	Better than prior period 
Coverage Ratio	77%	69%	Adequate coverage ratio 

Notes: 1. Exclusive of costs incurred to meet separation from Barclays PLC

Double digit balance sheet growth across all business segments and products

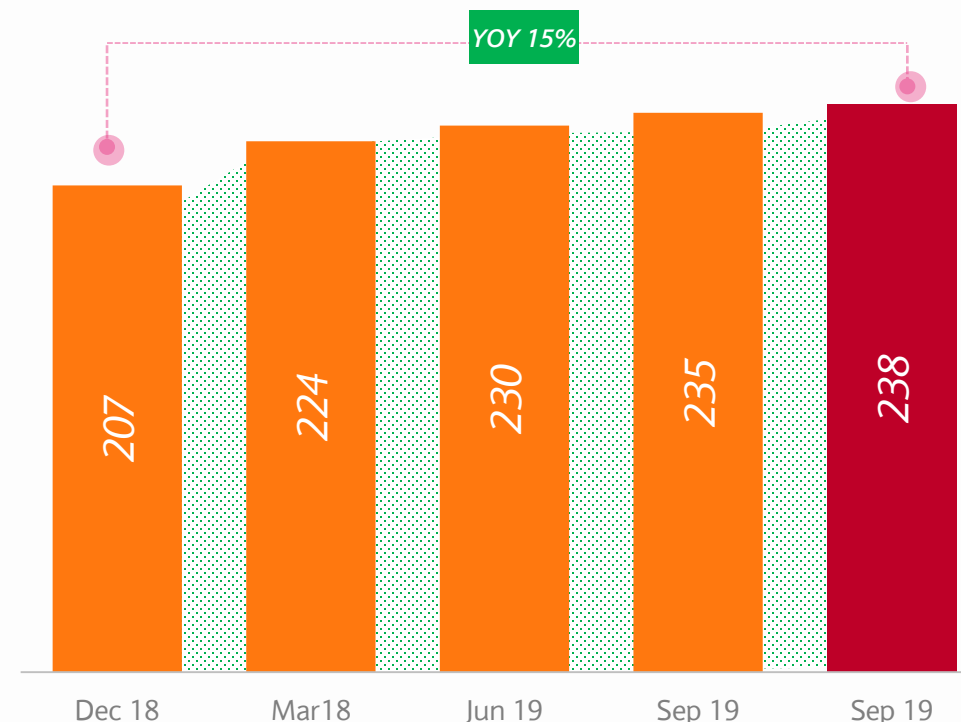
(In KES billions unless stated otherwise)

Customer Loans and Advances



- LDR of **82%**
- Government securities & trading book increased by **32% on a YoY basis**

Customer Deposits

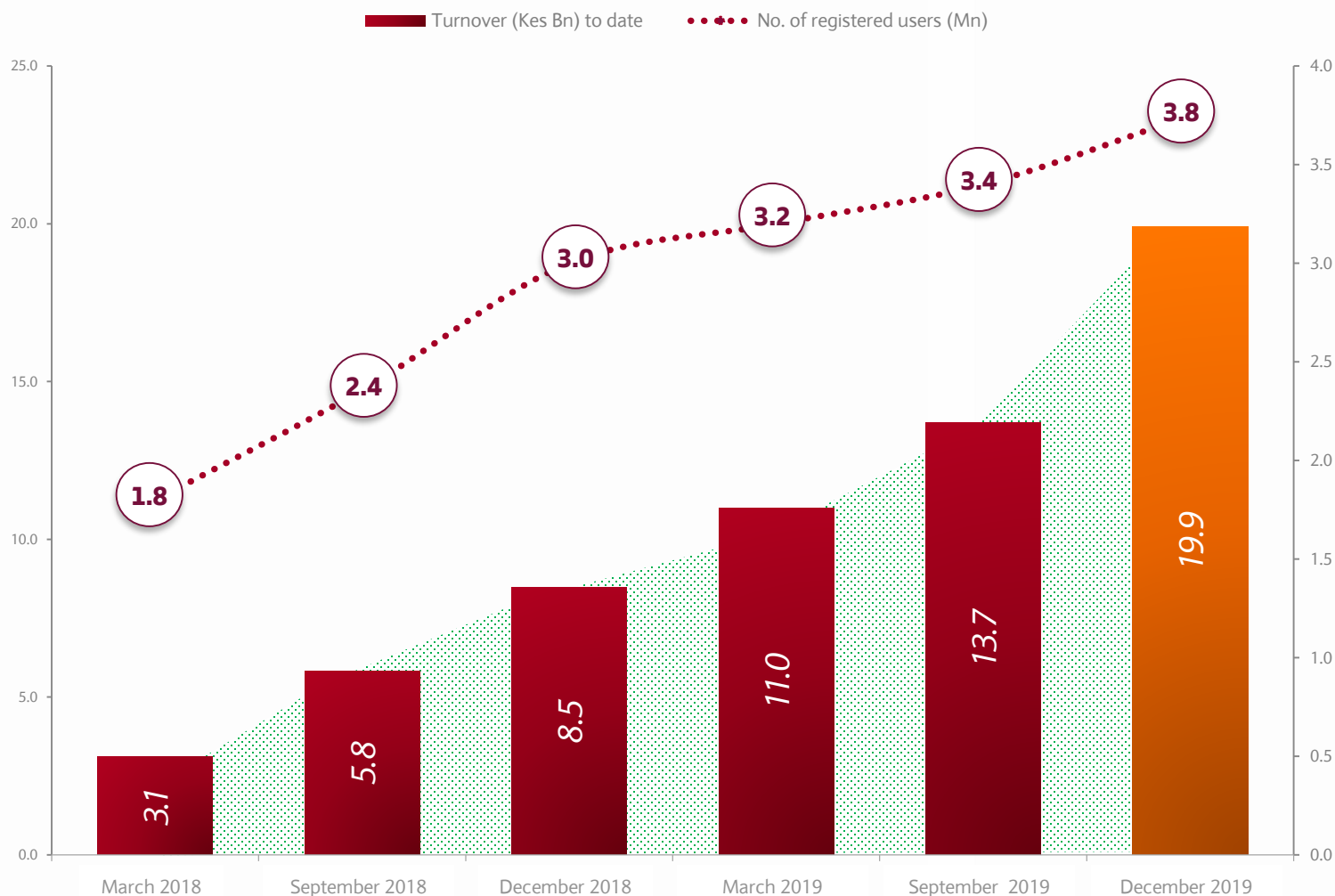


- Focus is on attracting **cheaper deposits** to lower the cost of funding

Timiza: Over 3.8 million registered customers since launch with KES20bn of lending

(In KES billions unless stated otherwise)

Customer Loans and Advances

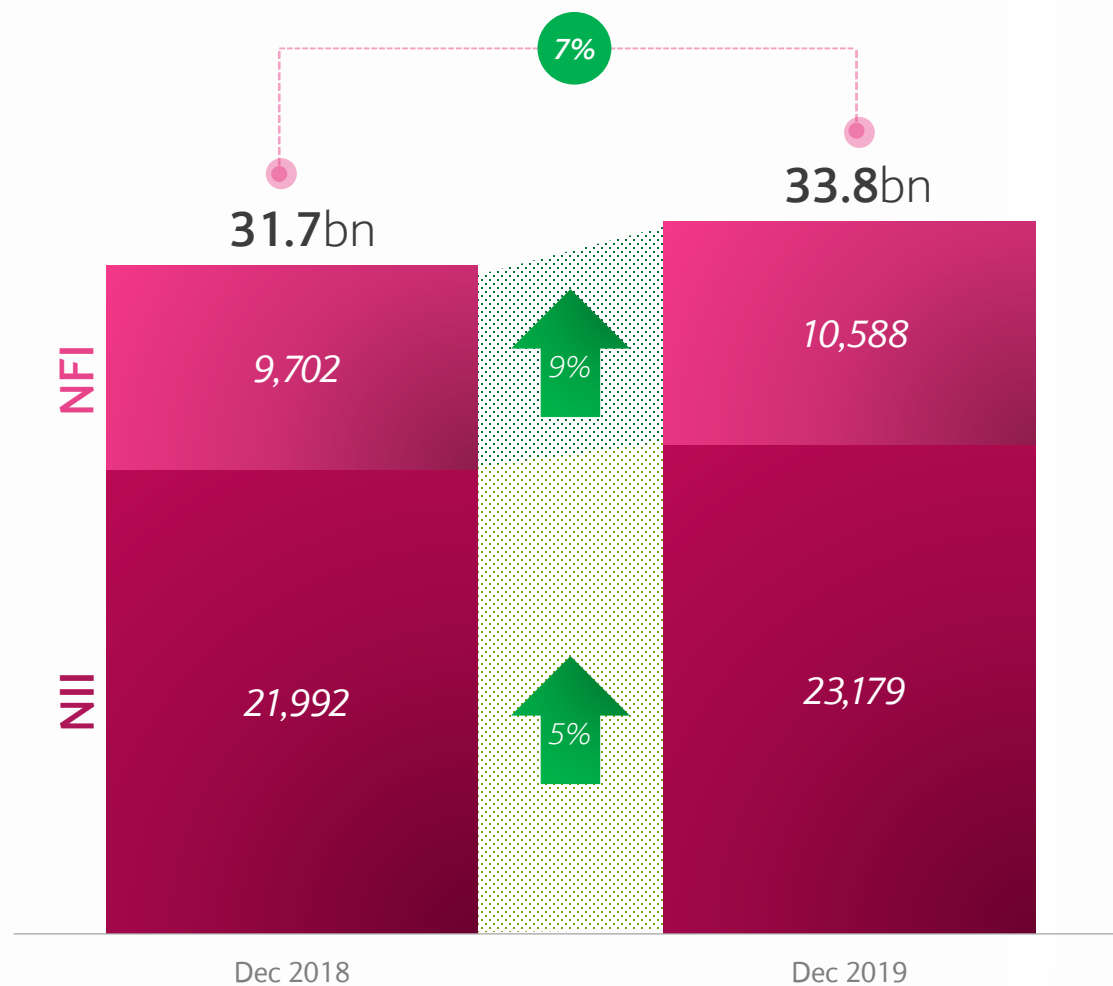


- **3.8 million** registered customers since launch
- **Over 2,000** new registrations per day
- Loans worth **KES 20 billion** disbursed since launch
- Over **3.1 million** loan tickets disbursed

Income growth boosted by non-interest income (31% of total revenue) and new revenue streams

(In KES billions unless stated otherwise)

Absa NII and NFI



Deliberately refocused our revenue growth on Non Funded Income

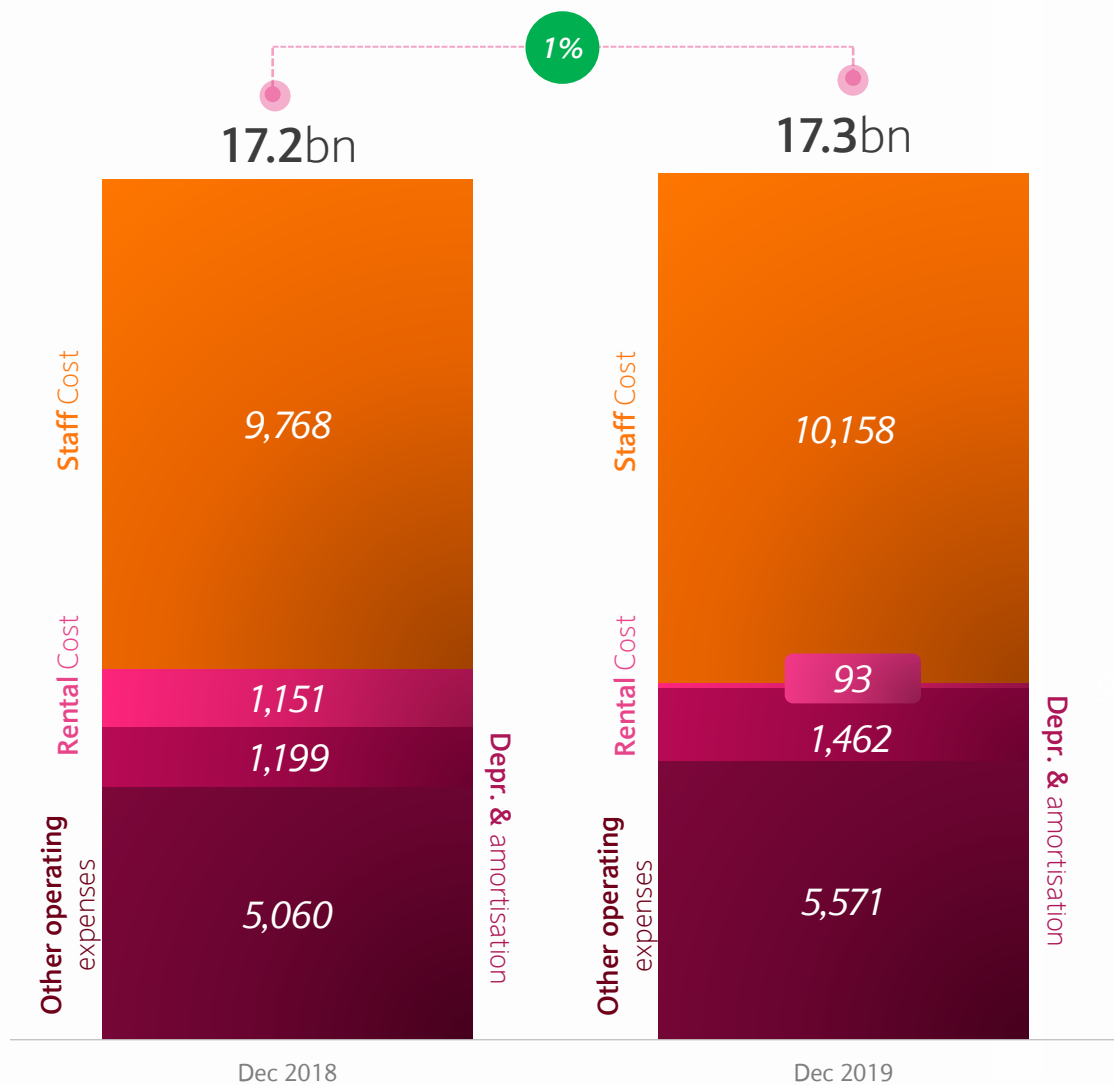
NFI growth driven by:

- Scale up of Virtual Banking (**Timiza**) proposition
- Risk Managed Products (**RMPs**)
- **FX** trading
- Bancassurance

Cost contained at 1% significantly below inflation (5.20%)

(In KES billions unless stated otherwise)

Absa Cost : 2018-2019



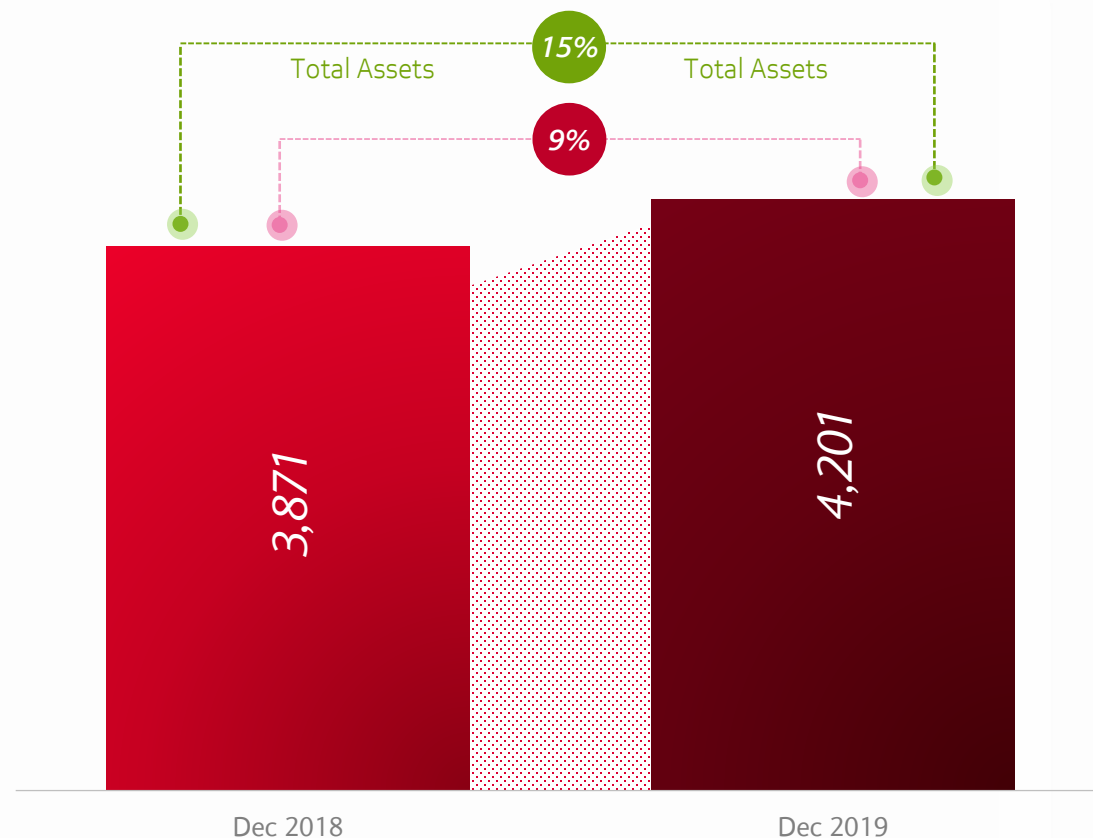
Benefits coming from...

- Investments in **technology**
 - ✓ E-statement
 - ✓ Paperless banking
- Customer centric** channels:
 - ✓ Intelligent ATMs,
 - ✓ Internet banking,
 - ✓ Mobile banking
- Process **automation**
- Branch** optimization
- Optimum **people structures**

Loan Loss Ratios maintained; ratios with adequate coverage

(In KES billions unless stated otherwise)

Absa Impairment: 2018-2019



Loan Loss ratio	2.2%	2.2%	➡
Coverage ratio	69%	77%	⬆

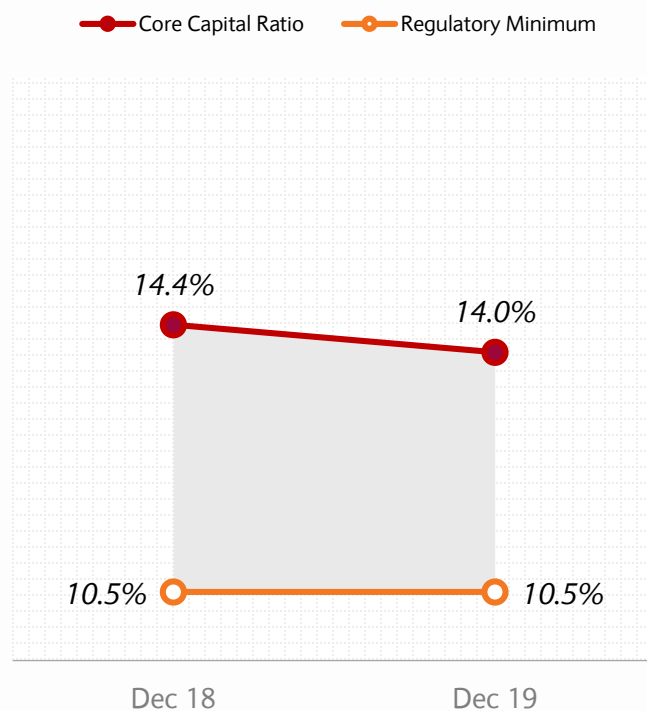
- Significant improvement in the levels of underwriting standards as well as internal efficiencies on the collections and recoveries fronts

Way forward:

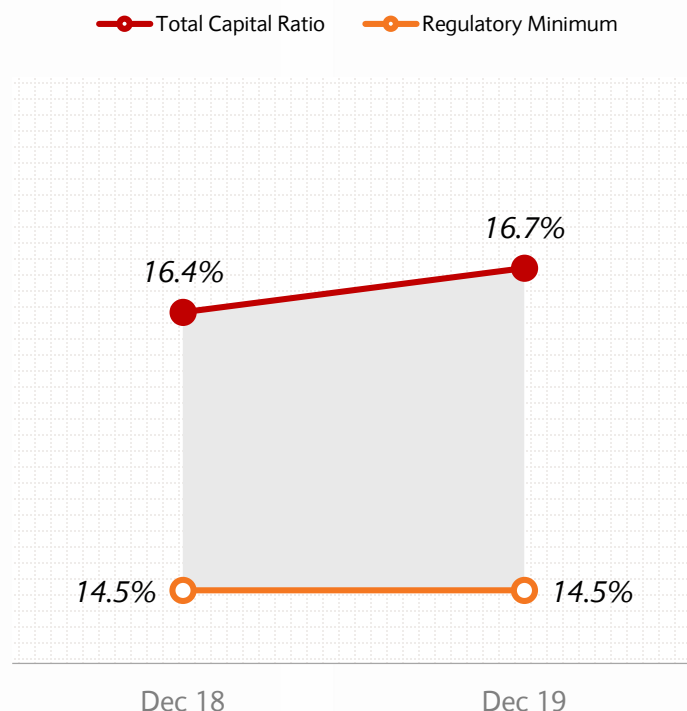
- We are leveraging on big ticket recoveries and driving an aggressive collections strategy
- We have invested in people, systems and processes to manage impairment going forward

Balance sheet ratios: Improving balance sheet optimization while retaining strong capital and liquidity ratios to support future growth and capital distribution

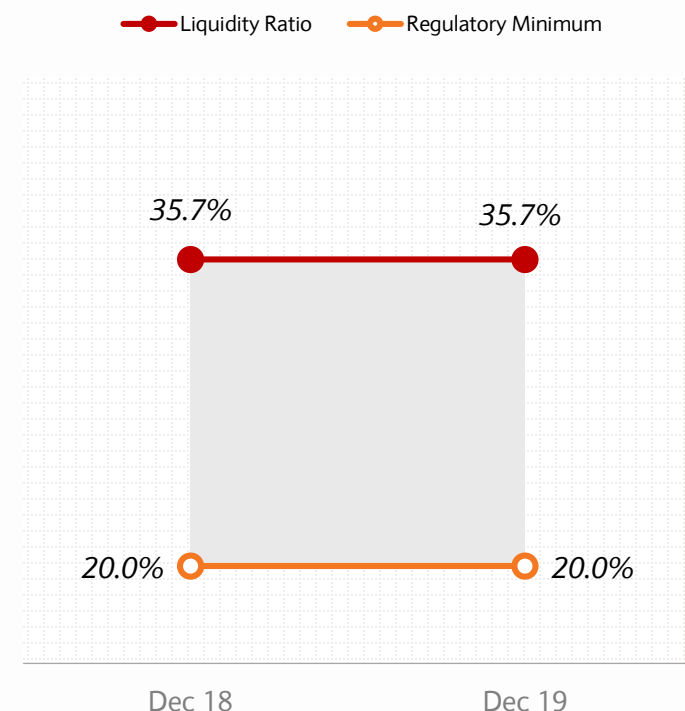
Core Capital Ratio



Total Capital Ratio



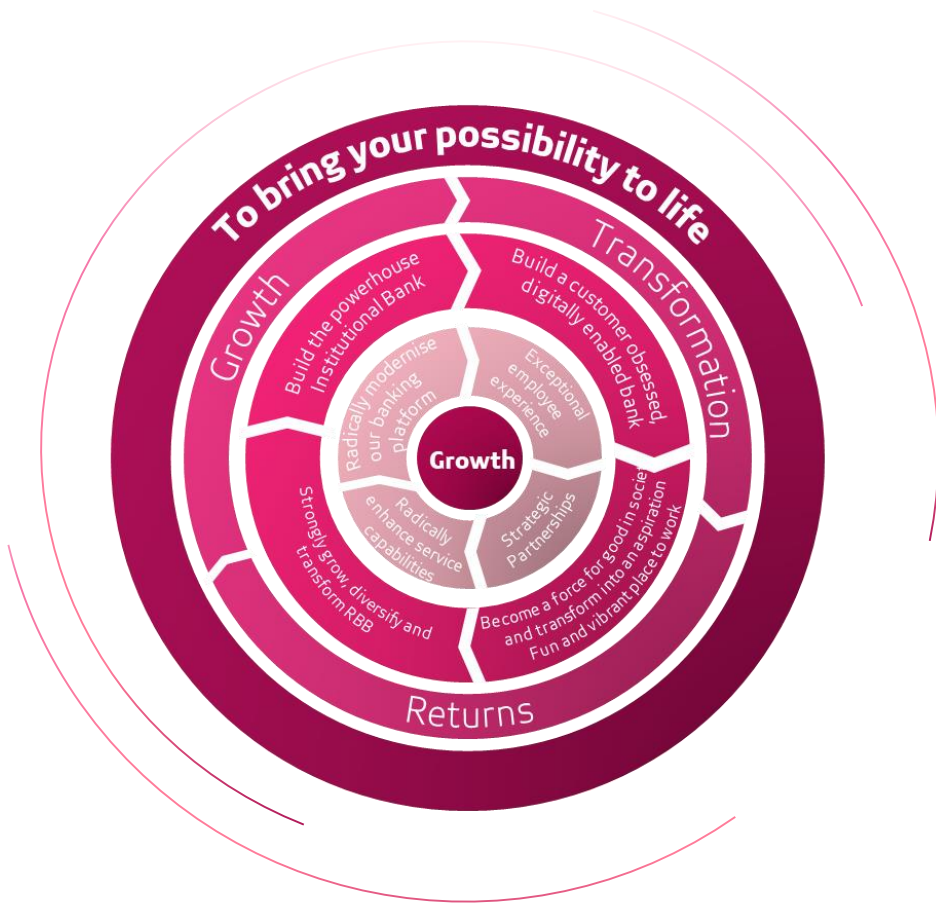
Liquidity Ratio



In line with our strategy to **optimize & manage** our **surplus capital to improve returns**, whilst retaining adequate capital buffers

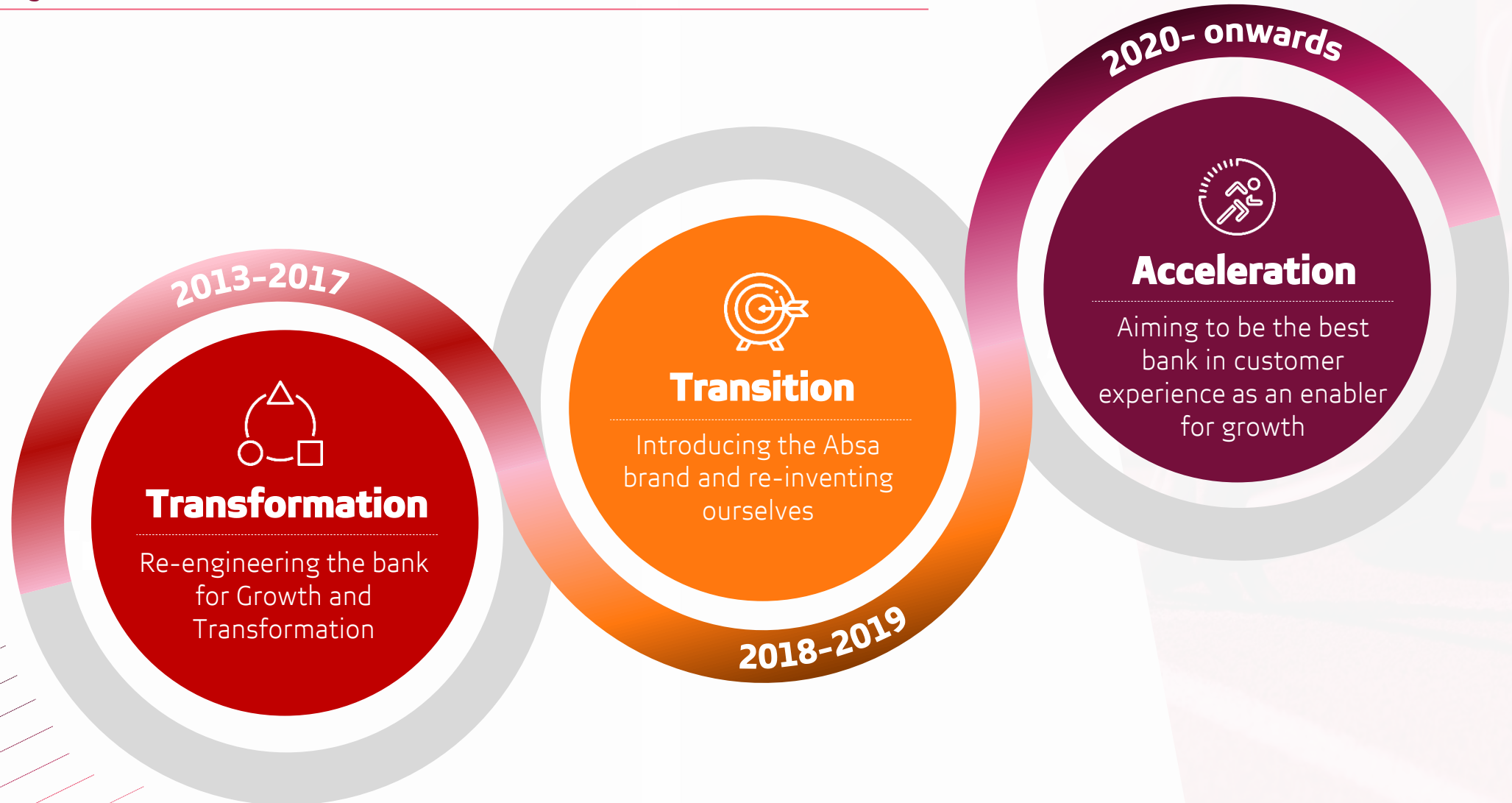
2018-2020 Strategy Execution Update

Moses Muthui – Country Strategy Director & CIB Finance Head

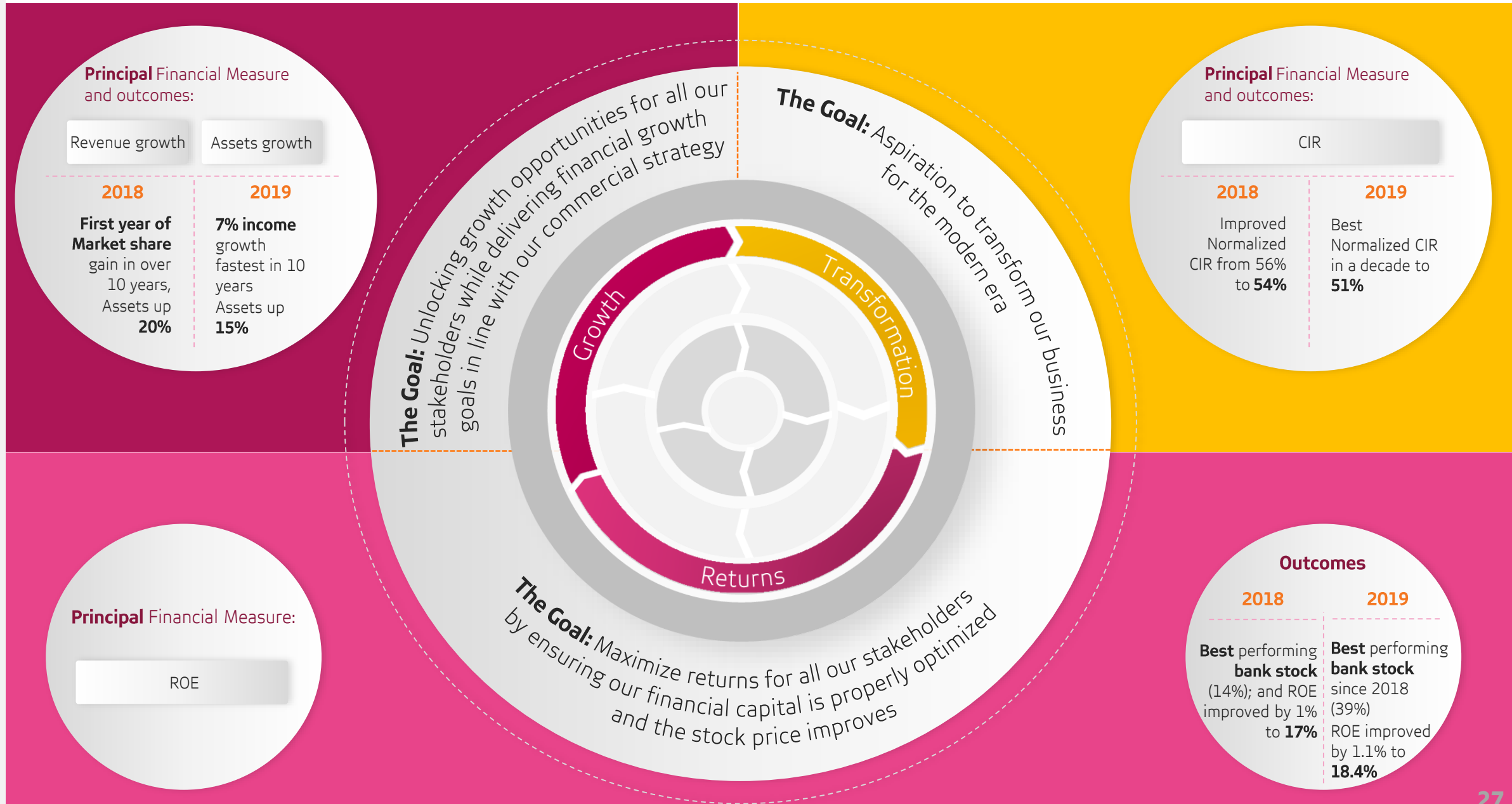


Our strategic horizons: The transition phase is successfully behind us, we are now entering our acceleration horizon

Our 3 strategic horizons



We have made significant strides on executing our Growth, Transformation and Returns strategy



On Growth:

Our revenue grown in 2019 was one of the fastest in 10 years and balance sheet growing at double digit in second year in a row

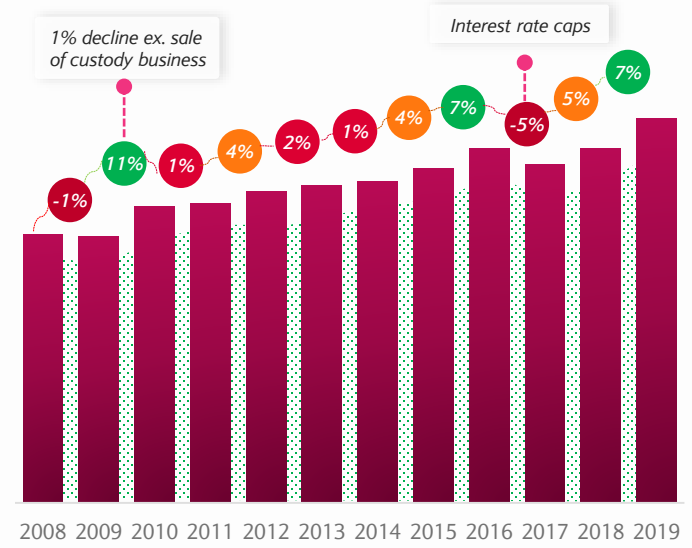
Our strategy



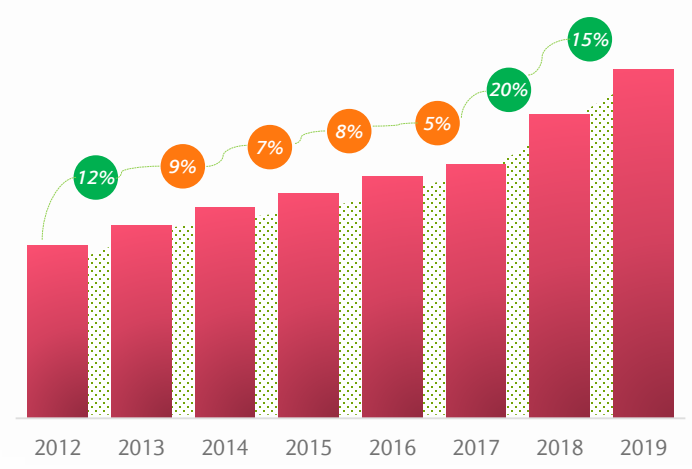
New business lines: 2018-To date

- New Transactional Banking Capabilities**
- Timiza**
- Enterprise Supply Chain Development**
- Signature Cards**
- New Trade Capabilities**
- Wealth Management**
- ETFs and RMPs**
- Wezesha**

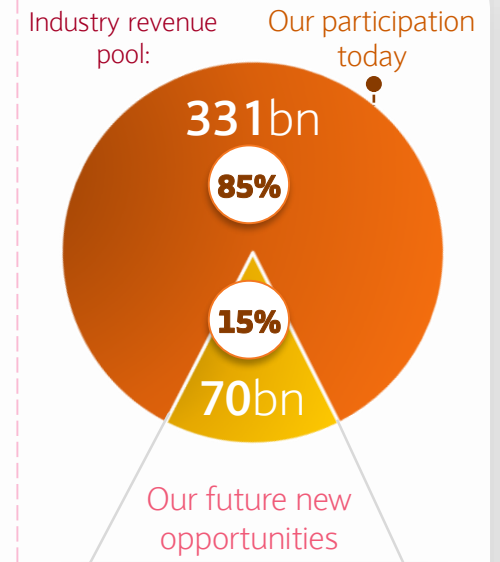
7% Revenue growth in 2019: One of the fastest in 10yrs



15% Assets growth in 2019 (20% growth in 2018)



Future growth areas



Across:

- Retail
- Business Banking
- CIB

Mainly aided by **digital, payments and trade**

On Transformation

Our efficiency ratio is at 51%, the best levels since 2012

Our strategy



New innovations: 2018-To date

Introduced New Culture

Robotics E2E Processing

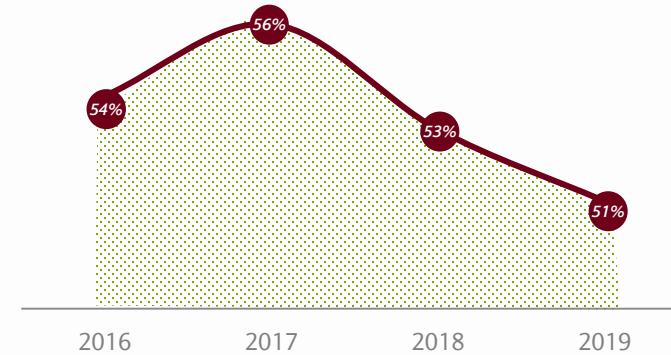
Remote Cheque Capture

Workday

Sustainability Agenda

New Credit System

Normalized CIR ratio: 2016-2019



Over the long term, we are growing while containing costs and reducing complexity: 2013-2019

Customer Assets

▲ 2x

FTE

▼ 1.4x

Customer Deposits

▲ 2x

Branches

▼ 1.2x

Future Transformation pillars

Customer experience transformation

Culture transformation

Transformational partnerships & investments

With a goal to:

Becoming the best bank in Customer experience

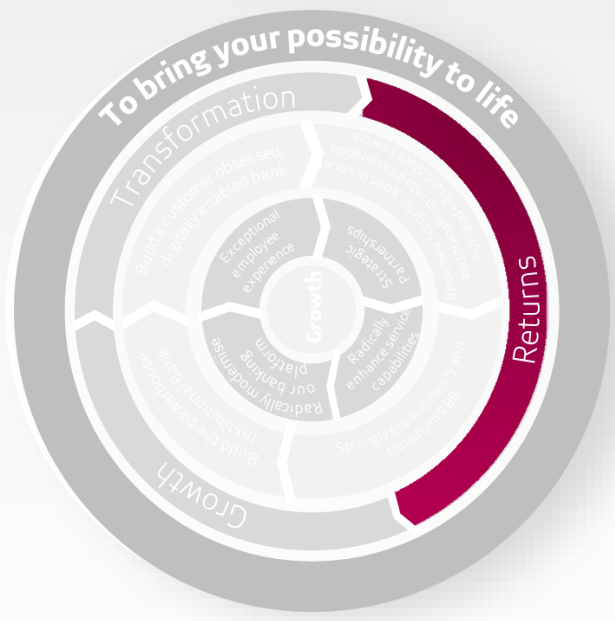
Becoming a fun, vibrant and great place to work

Becoming a modern organization driving growth and returns

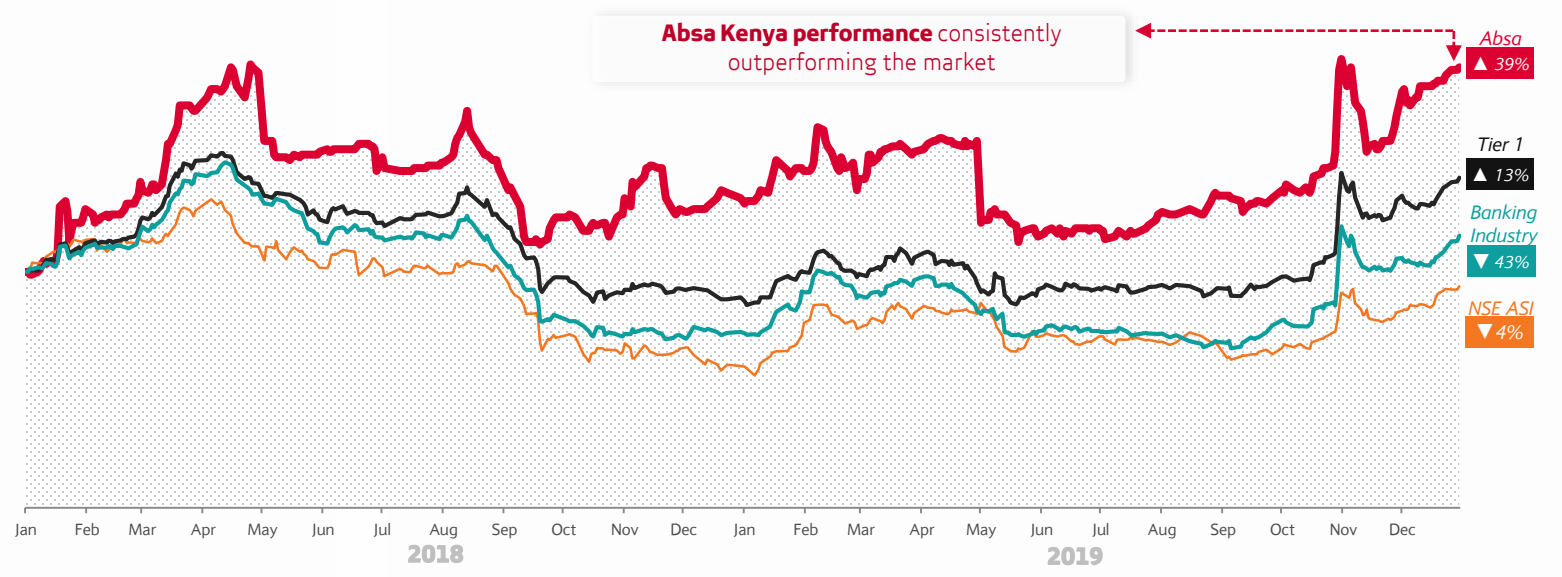
Returns

The stock market has validated the successful execution of our strategy with ABK stock being the best performing bank stock among the NSE listed banks, as at Dec 2019; recording a 39% improvement from the commencement of our 2018-2020 strategy (Jan 2018)

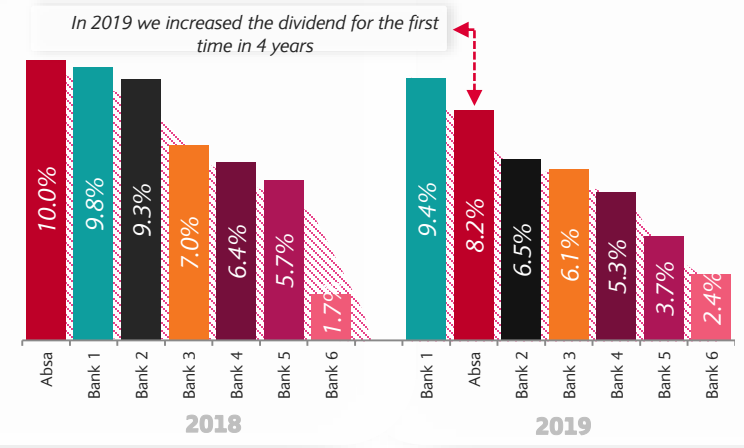
Our strategy



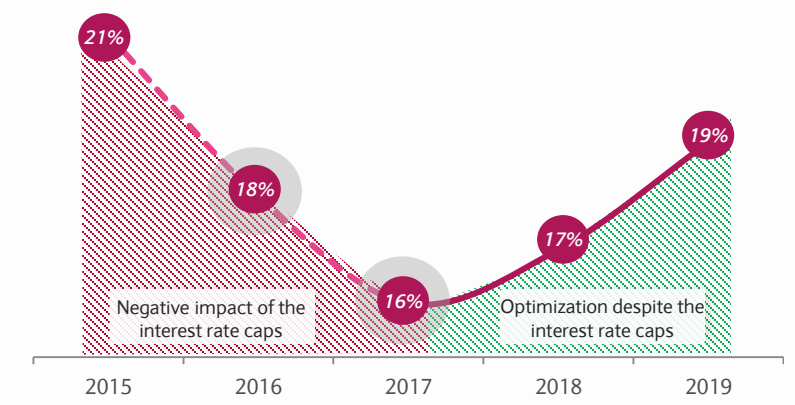
The Stock price has rewarded our programme: 2018-2019



Our dividend yield is one of the highest



Normalized ROE as turned around



Forward looking comment ⁽¹⁾

The drivers of forward valuations below are exposed to topical macro events that are constantly evolving and subject to change

Right & Dynamic Strategy
(And validated by the market 2nd year in a row)

Risk-on vs. risk-off rebalancing through the cycle
(Capital, Funding & Liquidity preservation vs. Growth Plans)

Right balance sheet construct
(~KES 46Bn Total Capital or 16.7% with ~KES 6Bn Surplus to Regulatory ratio of 14.5%)

Normalized financials
Normalized EPS up 14% from 1.37 in 2018 to 1.56 in 2019.
2019 Statutory EPS retained at 2018 level of 1.37 (despite absorbing Kes1.5bn separation expenses)

Total returns through the cycle
Total Normalized Return at 22% (EPS growth of 14%, Dividend Yield of 8%).

Notes:

1. Any outlook could be impacted by market-wide systemic events that are out of management's control. Any outlook is provided based on one-off transition impact, holding other factors constant

When you have the bravery to imagine,
and the will to get things done.

That's Africanacity. That's Absa.

We challenge limits, we close distances, we connect people
to opportunities – across borders, languages and cultures.

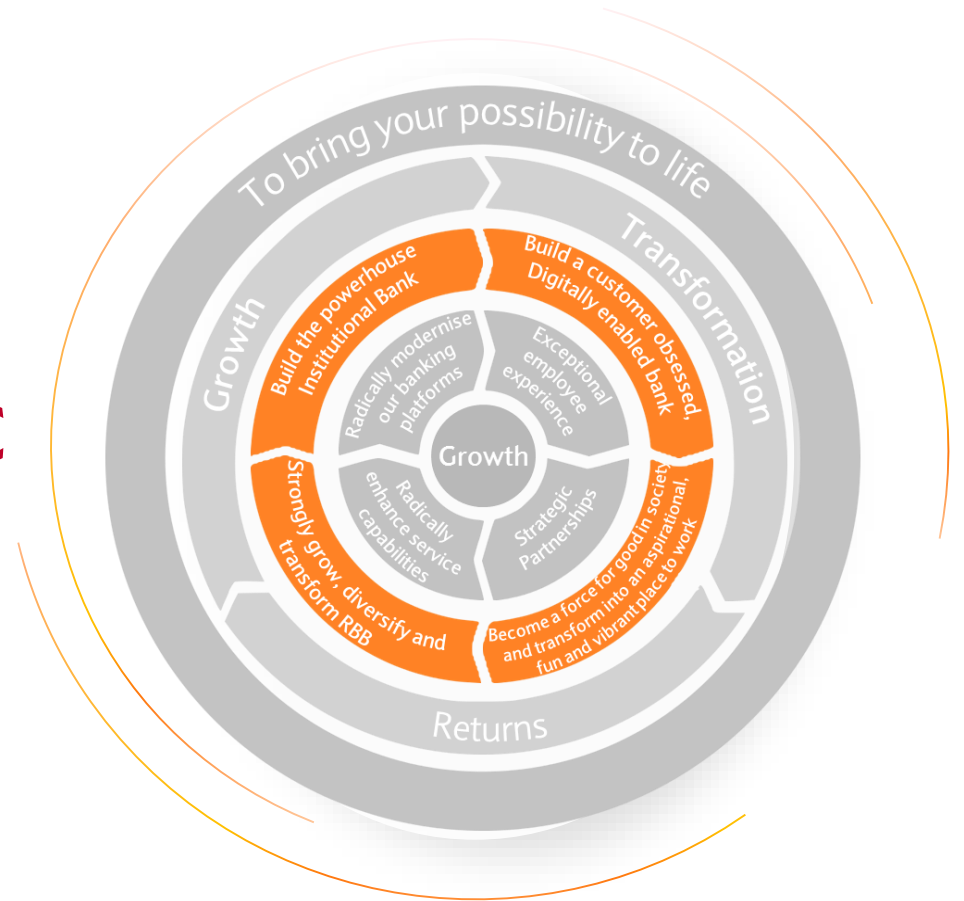
We are brave, we are relentless – we are independently African.

And we are ready to make your vision take flight
across our continent.

www.absa.africa/cib

2018-2022 Strategy Update on our 4 strategic priorities

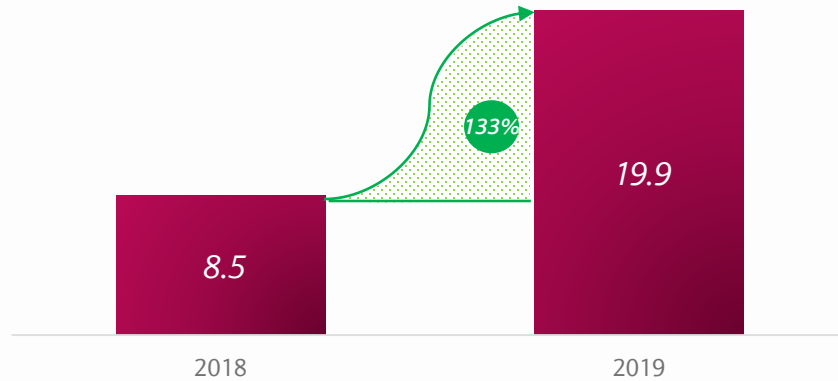
Jeremy Awori – Chief Executive Officer



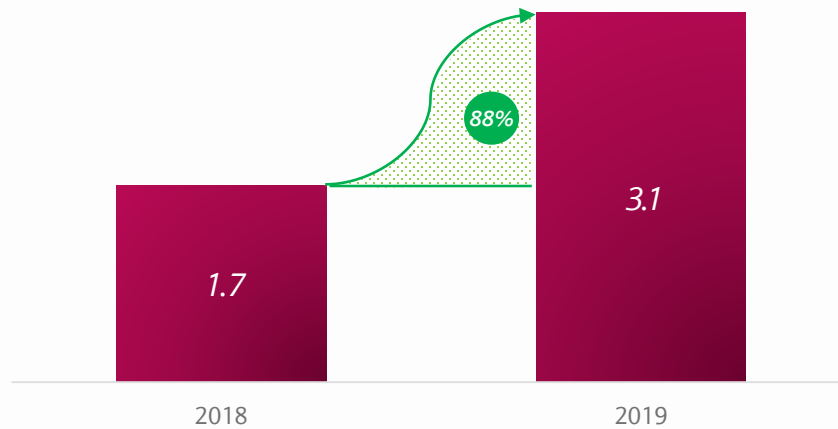
Strategic priority 1: Building a customer obsessed, digitally enabled bank

We built Timiza to be a fully fledged digital bank with impressive response from our Customers

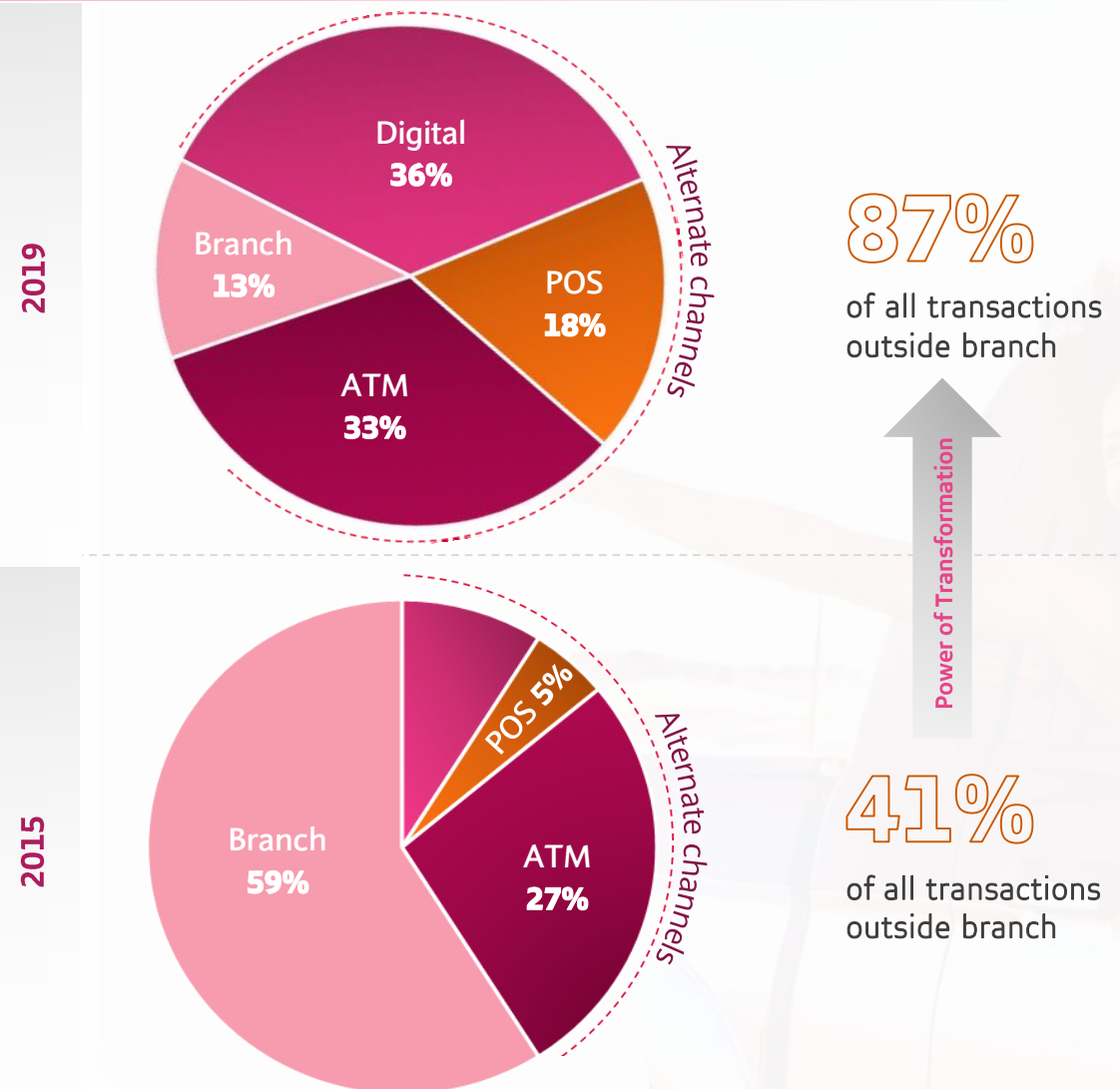
Timiza Cumulative value (Kes, billion)



Timiza Volume of loans (million)



Volume of Customer Transactions via distribution channels: 2015 vs 2019

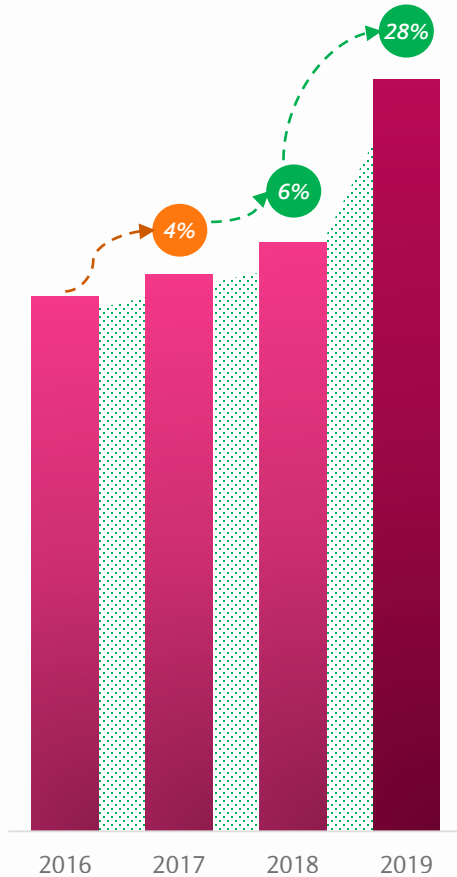


Strategic priority 2: Strongly grow, diversify and transform Retail and Business Banking

Business banking growth super-charged, with records set in 2019

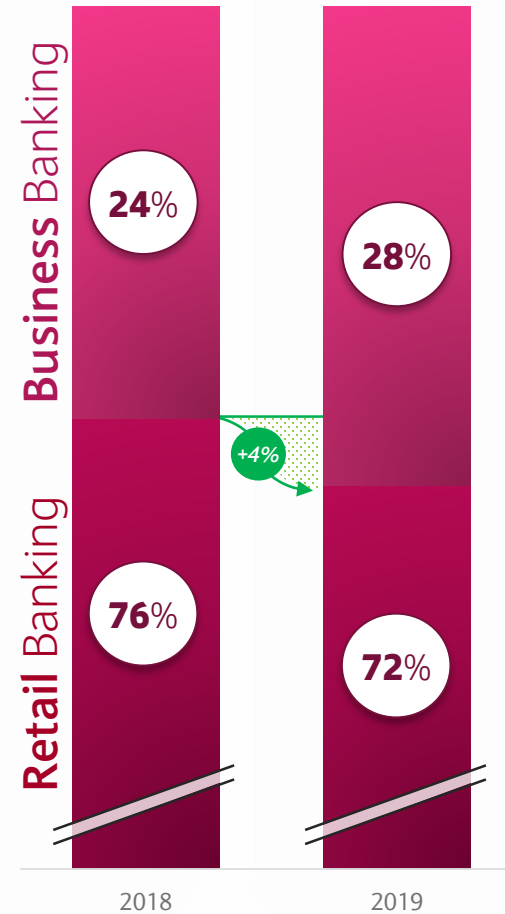
Fastest growth in balance sheet in over 5 years

Business Banking Customer Assets



Core business mix diversifying from retail dominance

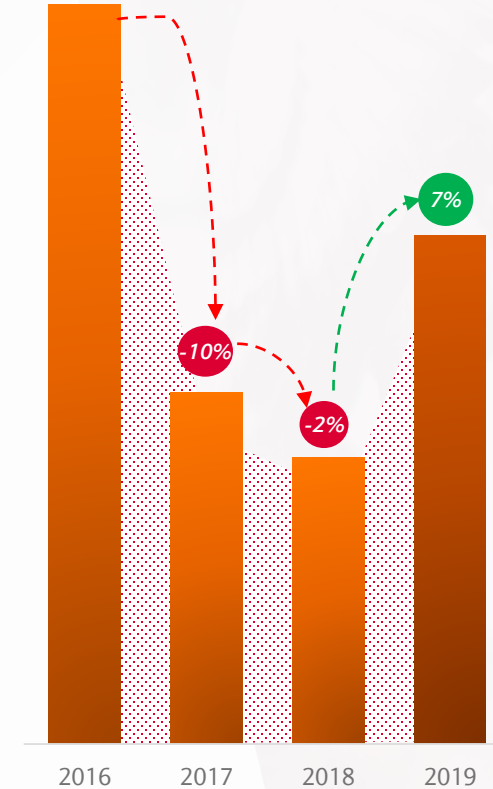
Retail and Business Banking assets diversification



Robust acceleration in our business bank

Positive revenue growth post interest rate caps

Business Banking revenue progression



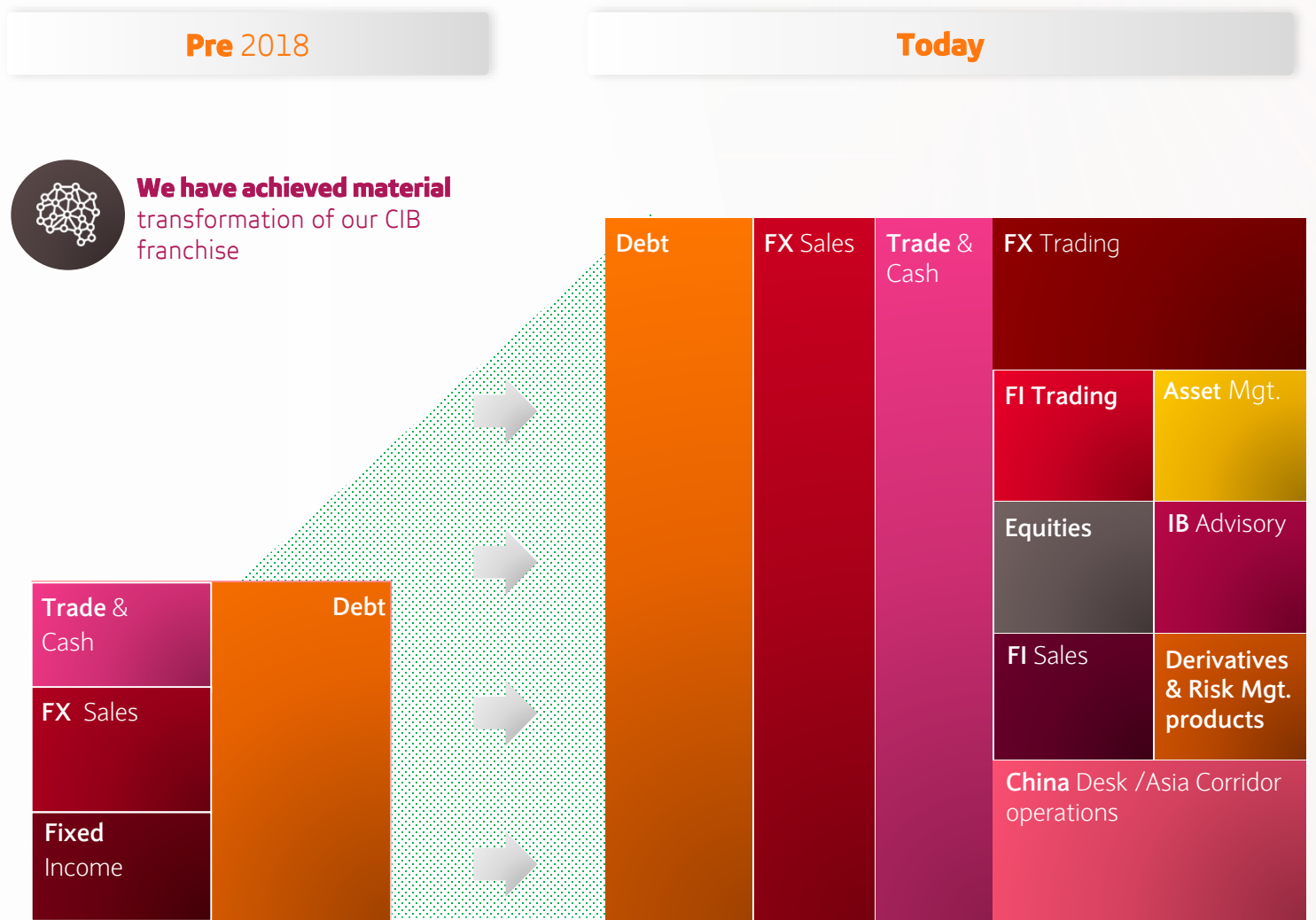
Strategic priority 3: Build the powerhouse Institutional Bank

We have largely concluded the portfolio fit-out for CIB – and we now have a holistic offering for our institutional clients

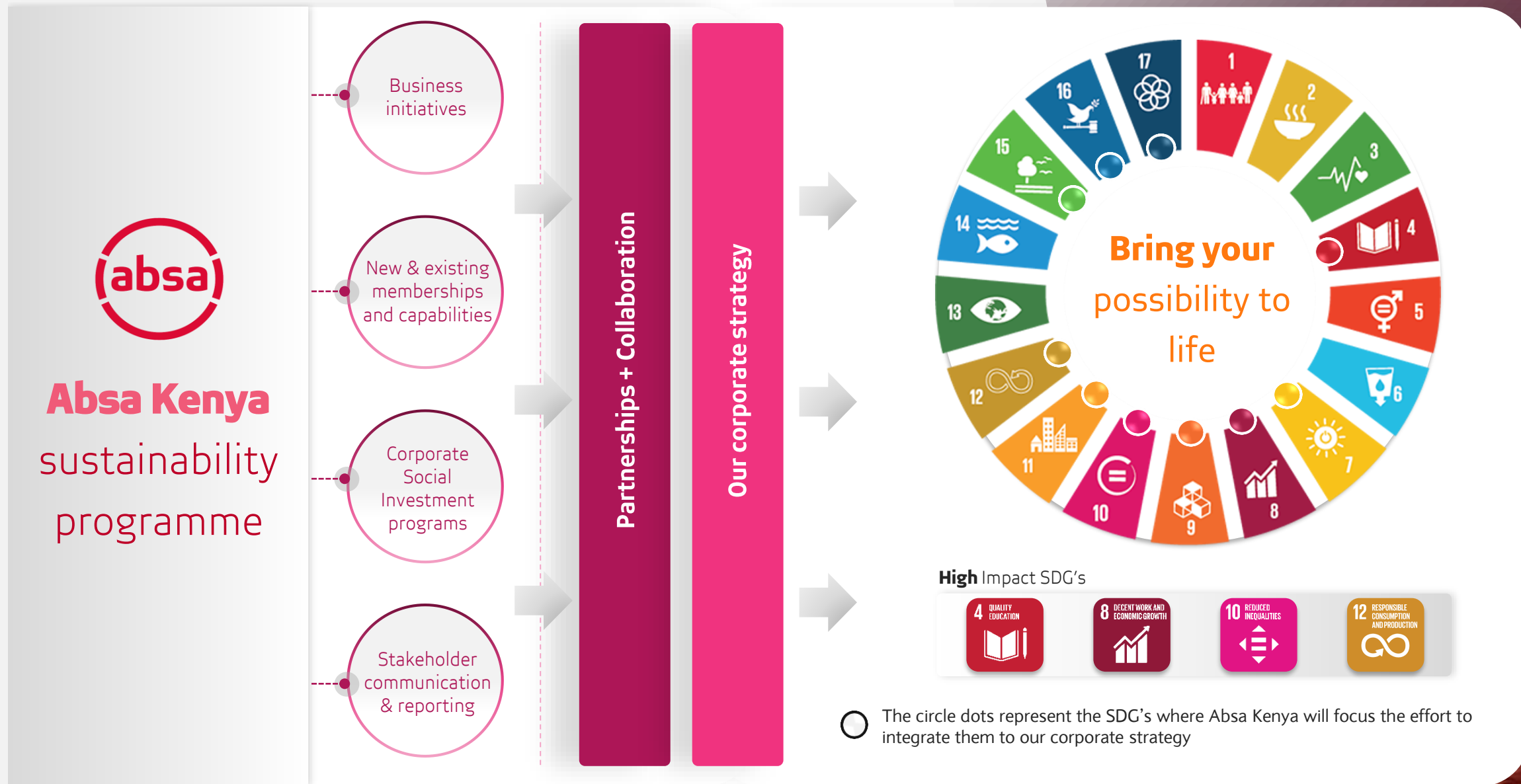
Building scale in CIB

Market Position			
	Product	Today	Medium Term Goal
Global Markets	FX Sales	#1	#1
	FX Trading	#1	#1
	FI Trading	#2	#1
	RMP	#3	#1
	FI Brokerage	New	Top 3
	Equities Brokerage	New	Top 3
	Asset Mgt.	New	Top 3
Global Markets Position		#2	#1
Corporate	Cash	#3	#1
	Trade	#3	#1
	Debt	#3	#2
	IBD Advisory	N/A	#2
Corporate position		#3	#1
CIB		#2	#1

CIB diversification



Strategic priority 4: Force for Good: We have established a Sustainability programme



Strategic priority 4: And we are creating an aspirational, fun and vibrant place to work

“Absa Kenya has a fantastic work environment & great team ethos

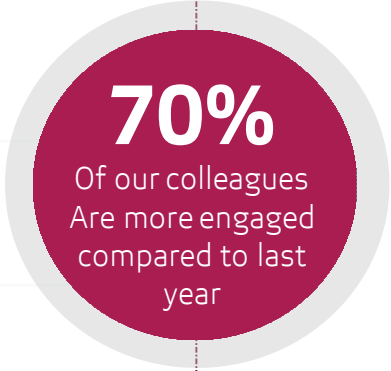
Timothy Wambu – Head Equity Research Kenya

“I love coming to work for Absa Kenya, It has THE positive vibe

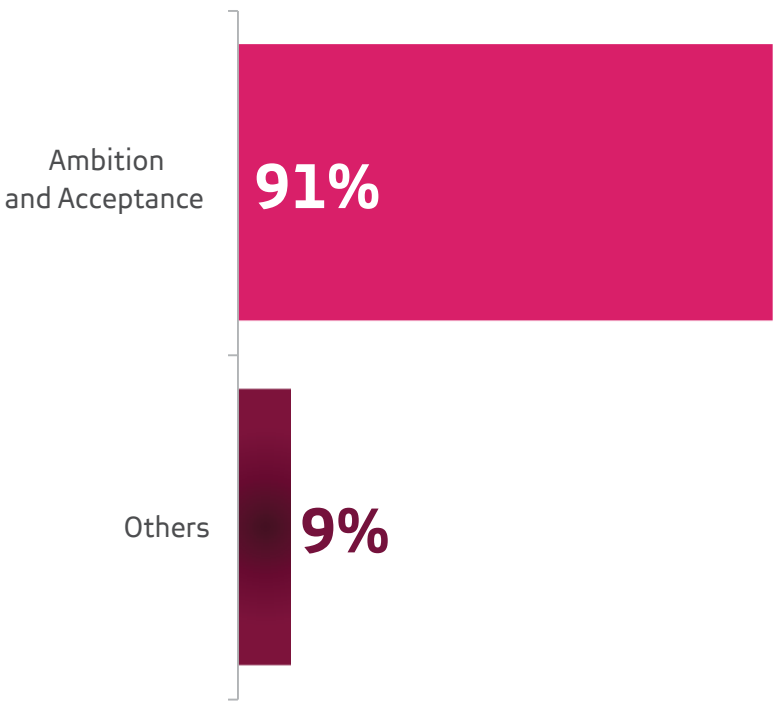
Peter Ondieki – Head of Sales

“Absa Kenya has an dynamic environment and a diverse working culture that fosters growth

Mark Mbogo – Markets Senior Dealer



Employee Change Curve towards our transition to Absa



of Colleagues are at the Acceptance and Ambition stages of the Change curve

In Conclusion

Jeremy Awori – Chief Executive Officer

(05)

Our Key priorities for 2020



**Managing
Macro
Risks**



**Customer
experience**



**Absa Brand
Building**



**Revenue Growth
& Diversification
to gain Market
Share**



**Transformational
agenda &
Investments**



**Sustainability
Agenda**

(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank of Kenya PLC. Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya PLC future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank of Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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